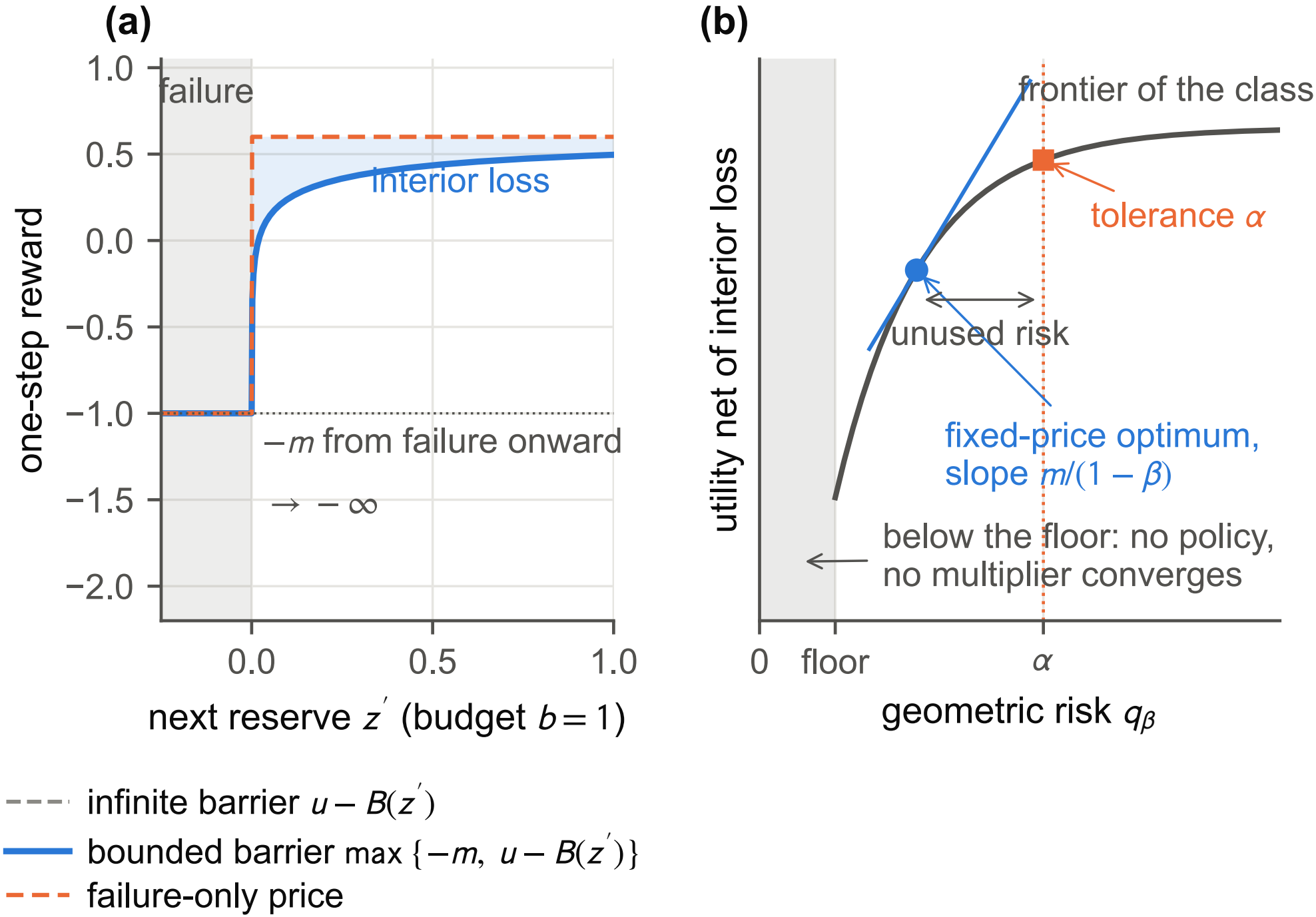

(a)
failure
interior loss
−m from failure onward
→ −∞
one-step reward
1.0
0.5
0.0
−0.5
−1.0
−1.5
−2.0
0.0
0.5
1.0
next reserve z′ (budget b = 1)
infinite barrier u − B(z′)
bounded barrier max {−m, u − B(z′)}
failure-only price
(b)
frontier of the class
tolerance α
unused risk
fixed-price optimum,
slope m/(1 − β)
below the floor: no policy,
no multiplier converges
utility net of interior loss
0
floor
α
geometric risk qβ